

Table 1: Description of variables

name	varlab
country	Country
country_id	Country code
code	Country code
year	Year
rgdppc	Real GDP per capita (constant 2015 USD)
ln_gdp_pc	Log of real GDP per capita (constant 2015 USD)
growthrate	Real GDP per capita growth rate
democracy	Democracy index ranges from -10 to 10
stdDem	Standardized Democracy Index
gfcf	Gross fixed capital formation (% of GDP), proxy for investment
gfcf_missing	=1 if the origin value of gfcf is missing
tradeopen	Trade openness: (exports + imports) as % of GDP
tradeopen_missing	=1 if the origin value of tradeopen is missing
educ_missing	=1 if the origin value of educ is missing
educ	Average years of schooling from Barro-Lee dataset

Table 2: Summary Statistics

	Mean	SD	Min	Max	N
ln gdp pc	7.025	.922	5.135	10.927	2492
growthrate	1.684	6.232	-66.221	87.751	2438
stdDem	0	1	-1.453	1.782	2492
gfcf	16.063	13.227	-2.424	93.547	2492
gfcf missing	.27	.444	0.000	1	2492
tradeopen	59.727	54.316	0.000	437.327	2492
tradeopen missing	.128	.334	0.000	1	2492
educ	2.489	2.846	0.000	12.54	2492
educ missing	.416	.493	0.000	1	2492

Table 3: Detail information about Growth rate and stdDem

Variables	Obs	Mean	Std. Dev.	Min	Max	p1	p99	Skew.	Kurt.
growthrate	2438	1.684	6.232	-66.221	87.751	-15.745	16.348	-.497	39.155
stdDem	2492	0	1	-1.453	1.782	-1.453	1.782	.287	1.578

Table 4: Fisher-Type Panel Unit-Root Test for Log Real GDP per Capita

Test statistic	Statistic	p-value
Inverse chi-squared P	72.745	0.996
Inverse normal Z	5.286	1.000
Inverse logit L*	5.486	1.000
Modified inverse chi-squared Pm	-2.399	0.992

Notes: Notes: The test fails to reject the null hypothesis that all panels contain unit roots.

Table 5: Fisher-Type Panel Unit-Root Test for Real GDP Growth Rate

Test statistic	Statistic	p-value
Inverse chi-squared P	857.823	0.000
Inverse normal Z	-23.217	0.000
Inverse logit L*	-32.746	0.000
Modified inverse chi-squared Pm	51.019	0.000

Notes: The test rejects the null hypothesis that all panels contain unit roots.

Table 6: Growth Lag Checks

VARIABLES	(1) Lag 1	(2) Lag 1-2	(3) Lag 1-3	(4) Lag 1-4	(5) Lag 1-5	(6) Lag 1-6
stdDem	0.412** (0.173)	0.420** (0.162)	0.413*** (0.153)	0.458*** (0.158)	0.463*** (0.161)	0.468*** (0.174)
L.growthrate	0.130* (0.0756)	0.146** (0.0712)	0.135* (0.0714)	0.125* (0.0693)	0.125* (0.0698)	0.123 (0.0756)
L2.growthrate		0.0262 (0.0314)	0.0225 (0.0237)	0.0215 (0.0225)	0.0226 (0.0224)	0.0178 (0.0233)
L3.growthrate			0.0965*** (0.0341)	0.0911*** (0.0294)	0.0926*** (0.0301)	0.0894*** (0.0328)
L4.growthrate				0.0187 (0.0537)	0.0131 (0.0518)	0.00998 (0.0522)
L5.growthrate					0.00722 (0.0317)	0.0129 (0.0353)
L6.growthrate						-0.0339 (0.0332)
educ	0.129 (0.134)	0.133 (0.138)	0.160 (0.132)	0.151 (0.137)	0.110 (0.141)	0.136 (0.152)
gfcf	0.0965*** (0.0278)	0.0893*** (0.0295)	0.0762** (0.0301)	0.0732** (0.0330)	0.0642* (0.0346)	0.0660* (0.0349)
tradeopen	-0.0117 (0.00911)	-0.0119 (0.00902)	-0.0117 (0.00885)	-0.0124 (0.00906)	-0.0132 (0.00863)	-0.0134 (0.00916)
Constant	1.803 (1.458)	1.045 (1.257)	1.414 (1.257)	0.184 (1.379)	1.152 (1.214)	0.134 (1.395)
Observations	2,384	2,330	2,276	2,222	2,170	2,118
R-squared	0.089	0.094	0.099	0.096	0.094	0.092
Number of country_id	54	54	54	52	52	52
Country FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes	Yes	Yes	Yes

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 7: Democracy and GDP Growth

VARIABLES	(1) No FE	(2) Country FE	(3) Country FE + Year FE
stdDem	0.344*** (0.108)	0.438*** (0.132)	0.413*** (0.153)
L.growthrate	0.187*** (0.0643)	0.143** (0.0675)	0.135* (0.0714)
L2.growthrate	0.0682*** (0.0200)	0.0313 (0.0216)	0.0225 (0.0237)
L3.growthrate	0.135*** (0.0277)	0.0897*** (0.0298)	0.0965*** (0.0341)
educ	0.0778 (0.0579)	0.0155 (0.0873)	0.160 (0.132)
gfcf	0.0534** (0.0244)	0.0619** (0.0286)	0.0762** (0.0301)
tradeopen	0.00434* (0.00223)	-0.00598 (0.00845)	-0.0117 (0.00885)
Constant	-0.913** (0.448)	-0.179 (0.969)	1.414 (1.257)
Observations	2,276	2,276	2,276
R-squared	0.119	0.050	0.099
Country FE	No	Yes	Yes
Year FE	No	No	Yes
Growth Lags	3	3	3
Controls	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes
Number of country_id		54	54

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 8: Growth Lag Checks (Model 2)

VARIABLES	(1) Lag 1	(2) Lag 1-2	(3) Lag 1-3	(4) Lag 1-4	(5) Lag 1-5
stdDem	0.289 (0.257)	0.295 (0.248)	0.319 (0.239)	0.335 (0.234)	0.316 (0.238)
educ	0.0718 (0.162)	0.0725 (0.170)	0.112 (0.167)	0.0869 (0.169)	0.0329 (0.167)
c.stdDem#c.educ	0.0447 (0.0564)	0.0450 (0.0559)	0.0334 (0.0542)	0.0434 (0.0552)	0.0515 (0.0539)
L.growthrate	0.130* (0.0756)	0.145** (0.0712)	0.135* (0.0714)	0.125* (0.0693)	0.124* (0.0698)
L2.growthrate		0.0259 (0.0313)	0.0224 (0.0236)	0.0214 (0.0224)	0.0224 (0.0223)
L3.growthrate			0.0963*** (0.0340)	0.0908*** (0.0293)	0.0923*** (0.0300)
L4.growthrate				0.0185 (0.0537)	0.0129 (0.0518)
L5.growthrate					0.00710 (0.0317)
gfcf	0.0963*** (0.0278)	0.0890*** (0.0295)	0.0760** (0.0301)	0.0730** (0.0330)	0.0639* (0.0345)
tradeopen	-0.0119 (0.00918)	-0.0121 (0.00908)	-0.0119 (0.00889)	-0.0126 (0.00908)	-0.0134 (0.00864)
Constant	1.916 (1.492)	1.181 (1.311)	1.556 (1.345)	0.371 (1.456)	1.380 (1.253)
Observations	2,384	2,330	2,276	2,222	2,170
R-squared	0.089	0.094	0.099	0.096	0.094
Number of country_id	54	54	54	52	52
Country FE	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes	Yes	Yes

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 9: Democracy and GDP Growth (Model 2)

VARIABLES	(1) No FE	(2) Country FE	(3) Country FE + Year FE
stdDem	0.263 (0.162)	0.297 (0.180)	0.319 (0.239)
educ	0.0516 (0.0706)	-0.0444 (0.0980)	0.112 (0.167)
c.stdDem#c.educ	0.0326 (0.0433)	0.0592 (0.0441)	0.0334 (0.0542)
L.growthrate	0.187*** (0.0643)	0.143** (0.0676)	0.135* (0.0714)
L2.growthrate	0.0680*** (0.0199)	0.0309 (0.0217)	0.0224 (0.0236)
L3.growthrate	0.135*** (0.0277)	0.0891*** (0.0300)	0.0963*** (0.0340)
gfcf	0.0526** (0.0247)	0.0621** (0.0286)	0.0760** (0.0301)
tradeopen	0.00438* (0.00221)	-0.00619 (0.00838)	-0.0119 (0.00889)
Constant	-0.832* (0.481)	0.0979 (0.980)	1.556 (1.345)
Observations	2,276	2,276	2,276
R-squared	0.120	0.050	0.099
Country FE	No	Yes	Yes
Year FE	No	No	Yes
Growth Lags	3	3	3
Controls	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes
Number of country_id		54	54

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 10: Baseline regression of two models

VARIABLES	(1) Model 1	(2) Model 2
stdDem	0.413*** (0.153)	0.319 (0.239)
educ	0.160 (0.132)	0.112 (0.167)
c.stdDem#c.educ		0.0334 (0.0542)
L.growthrate	0.135* (0.0714)	0.135* (0.0714)
L2.growthrate	0.0225 (0.0237)	0.0224 (0.0236)
L3.growthrate	0.0965*** (0.0341)	0.0963*** (0.0340)
gfcf	0.0762** (0.0301)	0.0760** (0.0301)
tradeopen	-0.0117 (0.00885)	-0.0119 (0.00889)
Constant	1.414 (1.257)	1.556 (1.345)
Observations	2,276	2,276
R-squared	0.099	0.099
Number of country_id	54	54
Country FE	Yes	Yes
Year FE	Yes	Yes
Growth Lags	3	3
Controls	Yes	Yes
Missing Indicators	Yes	Yes
SE clustered by country	Yes	Yes

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 11: Growth Rate and stdDem Lag Chekcs

VARIABLES	(1) growthrate	(2) growthrate	(3) growthrate	(4) growthrate
stdDem	0.370 (0.403)	0.378 (0.408)	0.364 (0.402)	0.380 (0.378)
L.stdDem	0.0434 (0.555)	-0.00383 (0.559)	0.0151 (0.543)	0.0126 (0.512)
L2.stdDem	0.0642 (0.468)	0.0459 (0.455)	0.0305 (0.450)	0.0141 (0.453)
L3.stdDem	-0.598 (0.509)	-0.512 (0.489)	-0.508 (0.493)	-0.565 (0.505)
L4.stdDem	0.442 (0.432)	0.384 (0.425)	0.393 (0.427)	0.652* (0.353)
L5.stdDem	0.271 (0.318)	0.310 (0.320)	0.309 (0.320)	
L.growthrate	0.124* (0.0700)	0.125* (0.0694)	0.126* (0.0728)	0.135* (0.0714)
L2.growthrate	0.0225 (0.0223)	0.0214 (0.0224)	0.0216 (0.0233)	0.0226 (0.0235)
L3.growthrate	0.0930*** (0.0301)	0.0912*** (0.0293)	0.0936*** (0.0333)	0.0966*** (0.0340)
L4.growthrate	0.0123 (0.0524)	0.0178 (0.0543)		
L5.growthrate	0.00585 (0.0322)			
educ	0.118 (0.140)	0.160 (0.137)	0.160 (0.139)	0.166 (0.131)
gfcf	0.0655* (0.0345)	0.0745** (0.0328)	0.0761** (0.0298)	0.0770** (0.0297)
tradeopen	-0.0138 (0.00863)	-0.0131 (0.00903)	-0.0132 (0.00926)	-0.0121 (0.00884)
Constant	1.086 (1.250)	0.157 (1.387)	0.182 (1.403)	1.426 (1.266)
Observations	2,170	2,222	2,222	2,276
R-squared	0.096	0.097	0.097	0.100
Number of country_id	52	52	52	54
Country FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes	Yes

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1

Table 11: Continue

VARIABLES	(1) growthrate	(2) growthrate	(3) growthrate	(4) growthrate
stdDem	0.396 (0.379)	0.398 (0.378)	0.398 (0.377)	0.413*** (0.153)
L.stdDem	0.0310 (0.514)	0.0290 (0.513)	0.0176 (0.362)	
L2.stdDem	-0.0356 (0.452)	-0.0127 (0.330)		
L3.stdDem	0.0253 (0.308)			
L.growthrate	0.135* (0.0715)	0.135* (0.0715)	0.135* (0.0714)	0.135* (0.0714)
L2.growthrate	0.0225 (0.0236)	0.0225 (0.0236)	0.0225 (0.0237)	0.0225 (0.0237)
L3.growthrate	0.0965*** (0.0340)	0.0965*** (0.0341)	0.0965*** (0.0341)	0.0965*** (0.0341)
educ	0.161 (0.132)	0.160 (0.132)	0.160 (0.132)	0.160 (0.132)
gfcf	0.0762** (0.0299)	0.0762** (0.0300)	0.0762** (0.0301)	0.0762** (0.0301)
tradeopen	-0.0118 (0.00886)	-0.0118 (0.00889)	-0.0118 (0.00886)	-0.0117 (0.00885)
Constant	1.414 (1.262)	1.415 (1.259)	1.414 (1.257)	1.414 (1.257)
Observations	2,276	2,276	2,276	2,276
R-squared	0.099	0.099	0.099	0.099
Number of country_id	54	54	54	54
Country FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Missing Indicators	Yes	Yes	Yes	Yes
SE clustered by country	Yes	Yes	Yes	Yes

Robust standard errors in parentheses

*** p<0.01, ** p<0.05, * p<0.1